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UNITED STATES DISTRICT COURT

NORTHERN DISTRICT OF CALIFORNIA

BRENDAN NGEHSI NEWANFORBI, Plaintiff, v. **SHANNON SMITH, LCSW, Chief Executive Officer and Founder of HOPE Program, an individual; and HOPE PSYCHOTHERAPY, INC., d/b/a HOPE PROGRAM, a California corporation,** Defendants.	**Case No.: _____** **COMPLAINT FOR DAMAGES AND INJUNCTIVE RELIEF** **DEMAND FOR JURY TRIAL** 42 U.S.C. § 1983; 18 U.S.C. § 1962; Cal. Civ. Code § 52.1; Common Law

I. INTRODUCTION

1. This is a civil rights action arising from a private, for-profit corporation's deliberate exploitation of its government-conferred monopoly power over mandatory sex offender treatment to systematically deprive a California parolee of his constitutional rights. Defendant SHANNON SMITH, LCSW, as Chief Executive Officer and Founder of HOPE Psychotherapy, Inc. ("HOPE"), personally approved, implemented, and enforced a blanket retention policy under which no parolee could ever be determined to have completed sex offender treatment prior to discharge from parole, regardless of individual clinical progress, compliance, risk reduction, or homework completion. Defendant HOPE, acting under color of state law as CDCR's contracted treatment provider, maintained and enforced this policy across all of its facilities statewide.

2. Smith oversaw this policy from HOPE's headquarters in Hayward, California. Smith knew the policy was unlawful: it had been judicially condemned in *In re Dwyer*, No. SC-080355A (San Mateo County Super. Ct., Mar. 20, 2023), where the court found that HOPE's policy "vitiates the Legislature's directive" under Penal Code Section 3008(d)(2). HOPE's own Executive Director of Clinical Training, Dr. Cristina Loree, testified under oath in *Dwyer* that HOPE requires continuous treatment for all parolees until parole discharge. Yet Smith took no corrective action.

3. HOPE's own Clinical Operational Manual (September 2024 edition) confirms the scheme in writing. On one page, the Manual states HOPE is "prohibited from discharging a client from treatment for any reason." On the next page, the Manual describes a six-step graduation process culminating in a Treatment Completion Certificate that clinicians are "not permitted to provide directly to clients." HOPE thus created the illusion of an achievable completion pathway while maintaining a corporate policy that made completion structurally impossible.

4. The documentary record confirms the policy's systematic operation. In verified discovery responses in the related state action, HOPE admitted that at every Containment Team Meeting ("CTM") during the relevant period, HOPE recommended continued treatment for Plaintiff and never recommended a treatment-completion determination. HOPE's site Director admitted she never recommended Plaintiff for treatment completion at any CTM she attended. Yet in the same discovery responses, HOPE claimed that "multiple clients" at the Stockton facility completed treatment pre-discharge, while simultaneously refusing to identify a single such client. This contradiction is the hallmark of a fabricated defense.

5. As a direct result, Plaintiff Brendan Ngehsi Newanforbi has been trapped in mandatory treatment since March 2021, subjected to false reports to CDCR characterizing him as not having completed treatment or homework, denied parole discharge, subjected to continued GPS monitoring and curfew restrictions, and deprived of over $109,000 in lost wages from his career

as a Class A CDL commercial truck driver. When Plaintiff complained about HOPE's practices, HOPE's site Director retaliated by labeling him a "ringleader" and "abhorrent" in front of his parole agents at a CTM on August 19, 2025, chilling his exercise of protected speech.

6. Plaintiff brings this action under 42 U.S.C. Section 1983 for deprivation of his rights under the First and Fourteenth Amendments, under 18 U.S.C. Section 1962 for racketeering, under California Civil Code Section 52.1 (the Bane Act) for interference with constitutional and statutory rights by threat, intimidation, and coercion, and under California common law for fraud and negligent misrepresentation. Plaintiff seeks compensatory damages, treble damages, punitive damages, declaratory and injunctive relief, and reasonable attorney's fees and costs.

II. JURISDICTION AND VENUE

7. This Court has original subject matter jurisdiction under 28 U.S.C. Section 1331 because this action arises under the laws of the United States, including 42 U.S.C. Section 1983 and 18 U.S.C. Section 1962. This Court has supplemental jurisdiction over Plaintiff's state-law claims under 28 U.S.C. Section 1367 because they form part of the same case or controversy as the federal claims and derive from a common nucleus of operative fact.

8. Venue is proper in this District under 28 U.S.C. Section 1391(b)(2) because a substantial part of the events giving rise to the claims occurred in this District. Defendant Smith works at and directs HOPE's operations from HOPE's principal place of business and headquarters at 1245 B Street, Hayward, California 94541 (Alameda County), where corporate policies, including the blanket retention policy at issue, were formulated, approved, and disseminated. HOPE also maintains a corporate address at 3170 Crow Canyon Place, Suite 135, San Ramon, California 94583 (Contra Costa County), within this District.

9. Venue is also proper under 28 U.S.C. Section 1391(b)(1) because both Defendants

reside in this District.

10. No administrative exhaustion is required for Plaintiff's Section 1983 claims. *Patsy v. Board of Regents*, 457 U.S. 496, 516 (1982).

III. PARTIES

11. Plaintiff BRENDAN NGEHSI NEWANFORBI is a natural person and resident of San Joaquin County, California. Plaintiff is a CDCR parolee (CDCR No. BF3571) assigned to the Stockton 2 GPS parole unit under the "SA" (Sex Offender Active) supervision tier, with a Controlling Discharge Date of December 2, 2030 and a California Static Risk Assessment (CSRA) score of 2 (Moderate). Plaintiff possesses a Class A Commercial Driver's License and, prior to the events described herein, maintained active employment relationships with multiple commercial carriers.

12. Defendant SHANNON SMITH is a natural person, a Licensed Clinical Social Worker (LCSW), and the Chief Executive Officer and Founder of HOPE Psychotherapy, Inc., which she founded in September 2008. Smith resides and works in California. Smith is the named insured on HOPE's Healthcare Professional Liability policy (Philadelphia Indemnity Policy No. 067968, per-incident limits of $1 million, aggregate limits of $5 million). Smith personally approves, implements, and enforces the corporate policies described herein. HOPE's Employee Handbook states: "No one other than Shannon Smith, CEO, has the authority to enter into any other agreement that modifies Company policy." Smith is sued in her individual capacity.

13. Defendant HOPE PSYCHOTHERAPY, INC. (d/b/a HOPE Program) is a Licensed Clinical Social Worker Professional Corporation organized under California law, with its principal place of business at 1245 B Street, Hayward, California 94541. HOPE is a CASOMB-certified sex offender treatment provider that contracts with CDCR to provide

mandatory SOMP services to parolees throughout Northern California, including at the Stockton facility at 5403 N. Pershing Avenue, Suite 200, Stockton, California 95207. HOPE describes itself as "California's largest sex offender rehabilitation initiative" and operates sixteen locations statewide, from San Francisco to San Diego. HOPE has also done business as "Hope Psychotherapy, Inc." and "HOPE Program, A Licensed Clinical Social Worker Professional Corporation."

IV. FACTUAL ALLEGATIONS

A. CDCR's Sex Offender Management Program

14. Under California Penal Code Section 3008, CDCR requires parolees to participate in a sex offender management program for a period determined on an individualized basis between one year and the parole term, "as determined by the certified sex offender management professional in consultation with the parole officer." Section 3008(d)(2) presupposes a meaningful possibility of completion before discharge from parole.

15. Title 15, California Code of Regulations, Section 3574 (effective April 17, 2025) codifies SOMP standards. Section 3574(f)(1) expressly provides that treatment completion and parole discharge are legally separate decisions. Section 3574(e)(2) establishes that the second CTM is "the first review to determine whether the supervised person's sex offender management program requirements have been satisfied." The regulation was adopted to implement the settlement in *Alliance for Constitutional Sex Offense Laws, Inc. v. Macomber* (L.A. Super. Ct. Case No. 23STCP02378), which was filed in July 2023 challenging an unwritten CDCR policy requiring all registrants to remain in treatment for the entire parole term. NCR 25-01 confirms the regulatory history.

16. CASOMB's Treatment Completion Guidelines (2018) require structured clinical

judgment and direct that the determination be a yes-or-no conclusion about whether treatment has been completed. CASOMB's Maintenance and Aftercare Guidelines (September 2024) state: "Discharge planning starts at intake. The final determination regarding whether an individual has 'completed' treatment should never come as a surprise to the client."

17. In the Stockton region, HOPE was the sole CASOMB-certified SOMP provider during the period relevant to this action, holding an exclusive monopoly over mandatory treatment for sex offender parolees.

B. HOPE as State Actor

18. HOPE acts under color of state law within the meaning of 42 U.S.C. Section 1983. HOPE contracts with CDCR to provide mandatory sex offender treatment, a function CDCR is statutorily required to administer under Penal Code Section 3008. HOPE admitted in verified discovery responses that it is a CASOMB-certified provider contracting with CDCR's Division of Adult Parole Operations to deliver sex-offender treatment under Penal Code Section 3008 and 15 CCR Section 3574. HOPE's treatment determinations directly control parolees' liberty: Plaintiff's parole agents have each separately stated to Plaintiff, in substance, that "HOPE controls" and that "without sex-offender completion there will be no discharge from parole."

19. Under *West v. Atkins*, 487 U.S. 42, 54 (1988), a private entity that contracts with the state to provide services to persons in state custody acts under color of state law when the services are a traditional and exclusive public function. HOPE's role as sole certified provider, its submission of clinical reports to CDCR that directly affect parole decisions, and its performance of mandatory state-ordered treatment makes HOPE a state actor.

C. HOPE's Blanket Retention Policy

20. HOPE maintains a blanket retention policy under which no parolee is determined to have completed treatment prior to discharge from parole. HOPE's four-phase program structure (preparatory, core, maintenance, aftercare) treats the aftercare phase as mandatory for parolees and voluntary only post-discharge. This structure makes completion structurally impossible while a participant remains on parole.

21. HOPE's Clinical Operational Manual (September 2024 edition) confirms this policy in its own words. On page 294, the Manual states: "Due to specific guidelines within our contracts, HOPE is prohibited from discharging a client from treatment for any reason." On the next page (p. 295), the Manual describes a six-step graduation process: (1) completion of the Maintenance Program; (2) adherence to all HOPE titration criteria; (3) a non-deceptive maintenance polygraph; (4) clinician presentation to staff in group supervision; (5) Clinical Director approval or denial of the CASOMB titration form; and (6) completion of a Treatment Completion Certificate. The Manual further provides: "Clinicians are not permitted to provide this certificate directly to clients. Clients can reach out via parole to obtain this documentation if they wish."

22. The juxtaposition of these provisions reveals the fraudulent architecture: HOPE created a detailed graduation pathway to maintain the appearance that completion is achievable, while simultaneously maintaining a blanket prohibition on discharge that ensures no client can ever reach the end of that pathway during the period of mandatory participation.

23. HOPE's blanket retention policy was judicially condemned in *In re Dwyer*, No. SC-080355A (San Mateo County Super. Ct., Mar. 20, 2023) (Hill, J.). HOPE's own Executive Director of Clinical Training, Dr. Cristina Loree, testified under oath that HOPE requires continuous treatment for all parolees until discharge. The court found that HOPE's policy "vitiates the Legislature's directive" under Penal Code Section 3008(d)(2) and terminated the petitioner's treatment.

24. Despite the *Dwyer* ruling, HOPE did not modify its blanket retention policy. The September 2024 Clinical Operational Manual, issued eighteen months after *Dwyer*, continues to prohibit discharge for any reason. In verified discovery responses, HOPE admitted it did not modify its treatment-completion policies or practices in any material respect after the April 17, 2025 effective date of 15 CCR Section 3574(f)(1) -- the regulation enacted specifically to stop the very practice HOPE continues.

D. Verified Discovery Admissions Confirming the Policy

25. In verified responses served in the related state action (San Joaquin County Superior Court Case No. STK-CV-UF-2026-0001032), Defendants made the following admissions that independently confirm the blanket retention policy:

(a) HOPE admitted that at every CTM held during the relevant period concerning Plaintiff, HOPE recommended continued treatment for Plaintiff and did not recommend a treatment-completion determination. (HOPE RFA No. 4.)

(b) HOPE's site Director Katie Palacios admitted that at all CTMs concerning Plaintiff that she attended, she did not recommend that Plaintiff be deemed to have completed treatment. (Palacios RFA No. 6.)

(c) HOPE admitted it characterized Plaintiff as having "partially completed" homework packets in one or more Form 3043 submissions to CDCR. (HOPE RFA No. 18.)

(d) In HOPE's Form Interrogatory 17.1 response, HOPE claimed it had determined that "multiple clients" at the Stockton facility successfully completed sex-offender treatment prior to discharge from parole. Yet when asked in Special Interrogatory No. 6 to identify any such client -- even using anonymized identifiers -- HOPE refused entirely, stating: "Responding Party cannot

and will not respond." This contradiction supports the inference that no pre-discharge treatment completion has ever occurred at the Stockton facility.

(e) HOPE admitted the existence of an Individualized Treatment Plan dated October 18, 2023, authored by clinician Bernadette Marie Tassone, in Plaintiff's clinical file. (HOPE RFA No. 10.) Palacios admitted this plan was never presented to Plaintiff for his review, signature, acknowledgment, or input. (Palacios RFA No. 8.) HOPE confirmed the plan was provided to CDCR but has never been revised. (HOPE SROG No. 14.) CASOMB's Maintenance and Aftercare Guidelines require that "the final determination regarding whether an individual has 'completed' treatment should never come as a surprise to the client" and that "regular reviews of progress in which the treatment provider and client collaborate" are "necessary." HOPE's concealment of the Tassone plan violates these standards.

(f) When asked to state all reasons Plaintiff was not eligible for treatment completion at each CTM, HOPE gave the identical response for every CTM from August 2022 through August 2025: "Plaintiff had not completed Block I of treatment." (HOPE SROG No. 11.) This rote, identical justification across seven CTMs spanning three years -- unchanged despite Plaintiff's continuous attendance and homework completion -- is the documentary fingerprint of a blanket policy, not individualized clinical judgment.

E. Plaintiff's Enrollment and HOPE's False Representations

26. On or about March 5, 2021, Plaintiff was enrolled in HOPE's SOMP at the Stockton facility. At no time during intake, group sessions, individual sessions, or CTMs did HOPE disclose to Plaintiff that HOPE maintained a blanket retention policy under which no parolee would ever be determined to have completed treatment prior to discharge from parole. The existence of this policy was intentionally concealed from Plaintiff.

27. In or about November 2022, HOPE clinician Pamela Akins, acting under the supervision and direction of site Director Katie Palacios, stated to Plaintiff in substance that individuals are titrating and completing the HOPE program, and that participants who complete their assignments and comply with treatment can titrate and complete. The clinician did not disclose that HOPE's blanket retention policy forecloses completion for all parolees prior to discharge.

28. In or about January 2024, during a group session at the Stockton facility, a HOPE clinician acting under the supervision and direction of Palacios repeated the substance of these representations.

29. In or about June 2024, a HOPE clinician stated to Plaintiff that she had personally checked with Palacios regarding Plaintiff's homework packets and was informed by Palacios that no homework completed by Plaintiff had ever been found in HOPE's records. This statement was false. Plaintiff had consistently and fully completed all assigned homework. As Palacios herself later admitted during a video-recorded group session in August 2025, HOPE routinely loses client homework packets.

30. Plaintiff justifiably relied on HOPE's representations by enrolling and continuously participating in HOPE's program from March 2021 through the present, structuring his CDL employment around HOPE's schedule, refraining from seeking an alternative provider, and foregoing earlier judicial relief under Penal Code Section 3008(d)(2). Plaintiff did not discover the impossibility of completion until he reviewed the *Dwyer* order in late 2025.

F. False Reports to CDCR

31. From 2021 through the present, Palacios (acting as HOPE's agent under policies set by CEO Shannon Smith) prepared and submitted treatment-status content to CDCR using CDCR

Form 3043 and contributed to CDCR's Discharge Review Report (Form 1502-DR). These forms were transmitted to CDCR agents via United States mail and electronic mail.

32. Palacios's CTM submissions included representations in substance that: "Subject partially participates in discussion. Subject has partially completed homework packets. Subject demonstrates partial understanding of the subject material. Subject is fixated on lawsuits instead of subject material." These submissions characterized Plaintiff's status as not having completed sex-offender treatment. These are statements of purported historical fact -- what assignments Plaintiff completed and whether treatment is complete -- not opinions or clinical judgments.

33. These representations were false. HOPE admitted that it characterized Plaintiff as having "partially completed" homework in its Form 3043 submissions. (HOPE RFA No. 18.) Yet Plaintiff had completed all assigned homework. The characterization of Plaintiff as not having completed treatment was the predetermined output of HOPE's blanket retention policy, not the product of individualized clinical assessment.

34. On or about March 31, 2026, Parole Agent Long Moua sent an email to HOPE (with Supervisor Gary Noguchi copied) acknowledging that Plaintiff had experienced "a technological error" that prevented him from joining a group session, yet instructing HOPE to "mark him as a no show." This directive -- instructing a treatment provider to record a false attendance record despite acknowledging the absence was not Plaintiff's fault -- exemplifies the collaborative mechanism by which HOPE and CDCR agents generated false records that were then used against Plaintiff.

G. The November 2025 Discharge Review

35. The November 2025 Discharge Review Report (CDCR Form 1502-DR), signed by Parole Agent Long Moua on November 14, 2025 and Unit Supervisor Gary Noguchi on

November 19, 2025, incorporated HOPE's reporting expressly: "Subject's Sex Offender Treatment Progress (HOPE): 10/15/2024 Stable 6/LSCMI 5. Level 2 below average Risk ... Core Phase of treatment and working in Block 1 Module 4/7 ... HOPE SOT recommends continued treatment ... Continued DAPO supervision is warranted and recommended." The agent recommendation was "Discharge Denied/No Action."

36. CDCR justifiably relied on HOPE's representations because HOPE was the sole CASOMB-certified provider serving the Stockton region, and DAPO institutionally defers to the treatment provider's determinations. But for HOPE's non-completion characterization and its repeated false partial homework reports, the November 2025 discharge review would not have had the treatment-based justification on which it expressly rested.

37. HOPE's false reports to CDCR directly caused Plaintiff's continued deprivation of liberty, including: (a) continued GPS monitoring restricting his movement; (b) curfew restrictions limiting his employment opportunities; (c) mandatory HOPE attendance forcing him to miss work; and (d) denial of parole discharge. These deprivations shock the conscience under *County of Sacramento v. Lewis*, 523 U.S. 833 (1998), because HOPE knowingly fabricated treatment-status evidence to prolong Plaintiff's supervision for financial gain.

H. Retaliation for Protected Speech

38. Prior to August 2025, Plaintiff exercised his First Amendment rights by making complaints to HOPE regarding HOPE's retention policy, loss of homework records, clinician turnover, phase progression, and treatment completion.

39. On August 19, 2025, during a CTM held at a CDCR parole office in Stockton, Palacios made retaliatory statements in the presence of Plaintiff's parole agents, including that Plaintiff was "disruptive," a "ringleader," "abhorrent," "often disrespectful," and that his

demeanor was "an acting job." Palacios stated in substance that "when you start complaining then the other guys chime in," explicitly linking her characterization of Plaintiff to his protected complaints about HOPE's practices.

40. These statements were made in a CTM that directly determined Plaintiff's parole conditions. A reasonable person in Plaintiff's position would have been deterred from exercising his right to complain for fear of adverse parole consequences.

41. On January 6, 2026, the day Plaintiff's complaint was served, Palacios prepared a same-day collateral note documenting notification to her supervisor Mark Delucchi, Dr. Carrie Shinske (Executive Director of Clinical Operations), and CEO Shannon Smith, followed by a forwarded email to CDCR contacts titled "Fwd: Newanforbi." This same-day notification chain, escalating directly from site Director to CEO to CDCR agents, is consistent with a pattern of retaliatory coordination.

I. Shannon Smith's Personal Involvement and Deliberate Indifference

42. Shannon Smith, as CEO and Founder of HOPE, personally approved, implemented, and enforced the blanket retention policy. Smith is the only individual with authority to modify HOPE's corporate policies. Smith directed the Clinical Operational Manual containing both the blanket no-discharge prohibition and the illusory graduation pathway.

43. Smith personally assigned homework to Plaintiff, including the "Prep: Wheel of Life Homework" assigned on July 5, 2021. Smith received notice of this lawsuit on January 6, 2026 via the Palacios notification chain and took no corrective action regarding HOPE's blanket retention policy.

44. Smith knew the blanket retention policy violated Plaintiff's constitutional rights. The

Dwyer order was issued on March 20, 2023, and HOPE's own employee was the witness whose testimony established the policy's unlawfulness. The September 2024 Clinical Operational Manual, issued eighteen months after *Dwyer*, continued to prohibit discharge. HOPE admitted in verified discovery responses that it did not modify its policies after the April 17, 2025 effective date of 15 CCR Section 3574(f)(1). Smith acted with deliberate indifference.

J. Financial Incentive Architecture

45. HOPE's fee-for-service contract with CDCR creates a direct financial incentive to retain clients indefinitely. Under Alameda County Probation Department Procurement Contract No. 26374 (First Amendment approved January 9, 2024), HOPE bills $100 per group psychotherapy session, $100 per CTM, $200 per individual session, $125 per quarterly treatment plan, and $500 per polygraph examination. A psychosexual evaluation is billed at $1,800. No fee is paid for successful treatment completion.

46. At baseline billing rates, a single parolee retained in treatment for a ten-year parole term generates approximately $106,000 to $111,000 in guaranteed corporate revenue. Every successful treatment completion eliminates a recurring revenue stream. HOPE's blanket retention policy serves a direct corporate financial interest.

47. HOPE's Clinical Director job description, produced in discovery, states that the position includes "Profit Sharing and Competitive compensation with performance bonus" and lists "50-60% utilization target" and "Accountable for operational performance of a clinic/site." The job description confirms the position is "bonus eligible." These compensation structures tie Clinical Director pay to client volume and clinic revenue, creating a financial incentive at the supervisory level to retain clients rather than complete them.

K. Damages

48. As a direct and proximate result of Defendants' conduct, Plaintiff has suffered and continues to suffer the following injuries:

49. **Economic damages.** Plaintiff maintained active, recurring commercial driving relationships with United Road, Keurig Dr Pepper, Tiger Lines LLC, US-1 Shorthaul, Lazer Spot, Inc., and Centerline Drivers. Due to HOPE's false reporting and the resulting parole constraints, Plaintiff was forced to resign from United Road in January 2022 after his parole agent threatened a parole violation for a scheduling conflict with mandatory treatment. Federal W-2 wage statements document lost CDL wages of no less than $109,408 for the years 2022 through 2024, measured against a but-for earning capacity of approximately $72,000 per year.

50. **Loss of liberty.** Plaintiff remains subject to GPS monitoring, curfew restrictions, mandatory treatment attendance, and parole supervision conditions that would not have been imposed or continued but for HOPE's false treatment-status reports and blanket retention policy.

51. **Emotional distress.** Plaintiff has suffered severe emotional distress, including anxiety, depression, feelings of helplessness, and mental anguish, caused by the knowledge that his liberty, career, and livelihood are controlled by a provider that maintains a policy making his completion impossible.

52. **Reputational harm.** HOPE's false characterizations of Plaintiff as having only partially completed homework and being "fixated on lawsuits," "disruptive," a "ringleader," and "abhorrent" were communicated to CDCR agents who determine Plaintiff's parole conditions.

V. CLAIMS FOR RELIEF

COUNT I

42 U.S.C. Section 1983 -- Individual Capacity

(Against Defendant Shannon Smith)

53. Plaintiff incorporates paragraphs 1 through 52 as though fully set forth herein.

54. Smith personally approved, implemented, and enforced the blanket retention policy. Smith is the sole individual with authority to modify HOPE's policies. Smith knew the policy violated Plaintiff's constitutional rights: the *Dwyer* order was issued in March 2023, and HOPE's own employee's sworn testimony established the policy's unlawfulness. Smith's September 2024 Clinical Operational Manual continued to prohibit discharge eighteen months later. HOPE admitted it did not modify its policies after the April 17, 2025 effective date of 15 CCR Section 3574(f)(1). Smith acted with deliberate indifference.

55. As a direct and proximate result, Plaintiff suffered deprivation of his rights under the First and Fourteenth Amendments. Plaintiff is entitled to compensatory and punitive damages. Plaintiff specifically seeks punitive damages against Smith in her individual capacity to punish and deter her deliberate indifference to Plaintiff's constitutional rights and her personal approval of HOPE's unlawful policy, which she maintained despite judicial condemnation, regulatory prohibition, and notice of this lawsuit.

COUNT II

42 U.S.C. Section 1983 -- Monell Liability

(Against Defendant HOPE Psychotherapy, Inc.)

56. Plaintiff incorporates paragraphs 1 through 52 as though fully set forth herein.

57. HOPE, acting under color of state law, maintained a policy, custom, or practice of: (a) applying a blanket retention policy under which no parolee could be deemed to have completed sex offender treatment prior to parole discharge; (b) submitting false reports to CDCR regarding

Plaintiff's treatment status and homework completion; and (c) retaliating against Plaintiff for exercising his First Amendment rights.

58. HOPE's blanket retention policy was the moving force behind the constitutional violations alleged herein. The policy was formulated and approved at HOPE's Hayward headquarters by CEO Shannon Smith, disseminated through the Clinical Operational Manual, and implemented uniformly at all facilities including Stockton. HOPE's verified discovery admission that it recommended continued treatment and never recommended completion at every CTM (HOPE RFA No. 4) confirms the policy was a corporate directive, not the product of individual clinical judgment.

59. As a direct and proximate result, Plaintiff suffered deprivation of his rights under the First Amendment (retaliation for protected speech) and the Fourteenth Amendment (deprivation of liberty without due process through false reports and a blanket policy that eliminates individualized assessment). Plaintiff is entitled to compensatory and punitive damages.

COUNT III

California Civil Code Section 52.1 (Bane Act)

(Against All Defendants)

60. Plaintiff incorporates paragraphs 1 through 52 as though fully set forth herein.

61. Plaintiff had rights secured by the Constitution and laws of the State of California and the United States, including: (a) the right under Penal Code Section 3008(d)(2) to have SOMP participation determined on an individualized basis; (b) the right under 15 CCR Section 3574(f)(1) to have treatment completion and parole discharge maintained as legally separate decisions; (c) First Amendment rights to petition and complain; and (d) Fourteenth Amendment rights to liberty and due process.

62. Defendants interfered with Plaintiff's rights by threat, intimidation, and coercion, including: (a) the practical coercion exerted through HOPE's exclusive gatekeeping role as sole CASOMB-certified provider in Stockton, with knowledge that its non-completion characterizations would result in continued GPS monitoring, curfew, and threat of parole violation; (b) Palacios's August 19, 2025 retaliatory CTM statements labeling Plaintiff as "disruptive," a "ringleader," and "abhorrent," made in front of his parole agents, explicitly linking those characterizations to Plaintiff's protected complaints; (c) threatening Plaintiff with parole violations for scheduling conflicts with mandatory treatment; and (d) the coercive linkage between acceptance of the blanket retention policy and avoidance of parole-violation consequences.

63. Each act was a separate violation of the Bane Act. Plaintiff is entitled to actual damages, statutory damages of $25,000 for each violation, attorney's fees and costs, and injunctive relief.

COUNT IV

Fraud and Negligent Misrepresentation

(Against All Defendants)

64. Plaintiff incorporates paragraphs 1 through 52 as though fully set forth herein.

65. Defendants made affirmative misrepresentations to Plaintiff and to CDCR, including representations that Plaintiff had an individualized path to treatment completion, that his non-completion status reflected individualized clinical assessment, and that he had only "partially completed" homework packets. Defendants further concealed: (a) the blanket retention policy; (b) the October 18, 2023 Tassone Treatment Completion Plan, which was placed in Plaintiff's file and sent to CDCR but never shown to Plaintiff; and (c) that HOPE's internal policy, not Plaintiff's performance, precluded completion.

66. These representations and omissions were false and material. HOPE's actual operating policy was the blanket retention policy condemned in *Dwyer*. Plaintiff's homework was in fact fully completed; any absence from HOPE's files was HOPE's loss or mishandling, as Palacios admitted on video in August 2025. Defendants knew these representations were false: the policy was admitted under oath by Dr. Loree in March 2023; HOPE admitted in discovery that it recommended continued treatment and never recommended completion at every CTM (HOPE RFA No. 4); and Palacios admitted she never recommended Plaintiff for completion (Palacios RFA No. 6).

67. Plaintiff justifiably relied on Defendants' representations by enrolling and continuously participating from March 2021 through the present, foregoing legal action, and structuring his CDL career around HOPE's schedule. As a direct and proximate result, Plaintiff suffered economic losses, emotional distress, and loss of liberty as described herein.

COUNT V

18 U.S.C. Section 1962(c)-(d) (RICO)

(Against All Defendants)

68. Plaintiff incorporates paragraphs 1 through 52 as though fully set forth herein.

69. The enterprise is an association-in-fact under 18 U.S.C. Section 1961(4), consisting of: HOPE Psychotherapy, Inc. (the corporate entity); Shannon Smith (CEO and policy-maker); Katie Palacios (Clinical Director who implemented the policy and submitted false reports); Dr. Cristina Loree (Executive Director of Training and Development, who testified to the policy under oath in *Dwyer*); Dr. Drew Kingston (Chief Clinical Officer); Dr. Carrie Shinske (Executive Director of Clinical Operations); Kristine Hansen (Director of Quality and Compliance); and front-line clinicians who carried out the policy. The enterprise has a common purpose (retaining parolees in treatment to generate fee-for-service revenue), ongoing relationships (corporate

hierarchy, training, supervision, CTMs), and longevity (operating since at least 2021 at the Stockton facility and since 2008 statewide).

70. Defendants conducted the affairs of this enterprise through a pattern of racketeering activity in violation of 18 U.S.C. Section 1962(c), consisting of at least two predicate acts within ten years:

(a) **Mail Fraud** (18 U.S.C. Section 1341): From 2021 through the present, Defendants used the United States mails to transmit false CDCR Form 3043 reports and Discharge Review Reports stating Plaintiff had not completed treatment and had only partially completed homework, when in fact the non-completion characterization was the predetermined output of a blanket retention policy. Each mailing constitutes a separate predicate act.

(b) **Wire Fraud** (18 U.S.C. Section 1343): From 2021 through the present, Defendants transmitted false treatment-status reports to CDCR via electronic mail, including the November 2025 Discharge Review Report content. Each transmission constitutes a separate predicate act.

(c) **Obstruction** (18 U.S.C. Section 1519): Defendants destroyed, altered, or failed to preserve homework completion records, audit logs, and metadata, knowing such records were relevant to pending or anticipated litigation and to CDCR's discharge review process. Palacios admitted on video in August 2025 that HOPE routinely loses client homework packets, confirming the systematic failure to preserve records that would have disproved HOPE's false "partial completion" reports.

71. The predicate acts share a common purpose (revenue retention), common participants (HOPE, Smith, and their agents), common method (false reports to a government agency), and common victims (Plaintiff and similarly situated parolees). The pattern was open-ended and continued through at least November 2025.

72. As a direct and proximate result of Defendants' pattern of racketeering activity, Plaintiff suffered injury to his business and property, including lost wages exceeding $109,408, continued parole supervision, and deprivation of his CDL career. Plaintiff is entitled to treble damages under 18 U.S.C. Section 1964(c), plus reasonable attorney's fees and costs.

73. Defendants further conspired to violate 18 U.S.C. Section 1962(c) in violation of 18 U.S.C. Section 1962(d).

VI. PRAYER FOR RELIEF

WHEREFORE, Plaintiff respectfully requests that this Court:

(a) Enter judgment in favor of Plaintiff and against Defendants on all claims;

(b) Award Plaintiff compensatory damages for economic loss, emotional distress, loss of liberty, and reputational harm, according to proof;

(c) Award Plaintiff treble damages on the RICO claim pursuant to 18 U.S.C. Section 1964(c);

(d) Award Plaintiff punitive damages against Defendant Shannon Smith in her individual capacity, to punish and deter her deliberate indifference to Plaintiff's constitutional rights and her personal approval and maintenance of HOPE's unlawful policy;

(e) Award Plaintiff statutory damages of $25,000 per violation of the Bane Act pursuant to Civil Code Section 52.1;

(f) Issue a declaratory judgment that HOPE's blanket retention policy violates 42 U.S.C.

Section 1983, 15 CCR Section 3574(f)(1), and Penal Code Section 3008(d)(2);

(g) Issue a permanent injunction under 42 U.S.C. Section 1983 and 18 U.S.C. Section 1964(a) barring HOPE from applying its blanket retention policy to Plaintiff or any other parolee, and requiring HOPE to conduct individualized assessments of treatment completion based on published, objective clinical criteria, consistent with CASOMB's Treatment Completion Guidelines, within thirty (30) days of this Order;

(h) Award Plaintiff reasonable attorney's fees and costs pursuant to 42 U.S.C. Section 1988, 18 U.S.C. Section 1964(c), and Civil Code Section 52.1(i);

(i) Grant such other and further relief as the Court deems just and proper.

VII. DEMAND FOR JURY TRIAL

Plaintiff demands a trial by jury on all issues so triable.

VIII. VERIFICATION

I, BRENDAN NGEHSI NEWANFORBI, declare under penalty of perjury under the laws of the United States of America that I have read the foregoing Complaint, that the factual allegations therein are true and correct to the best of my knowledge, information, and belief, and that the legal contentions therein are warranted by existing law or by a nonfrivolous argument for extending, modifying, or reversing existing law or for establishing new law.

Dated: July 16, 2026

_____

BRENDAN NGEHSI NEWANFORBI

Plaintiff, In Pro Per

CERTIFICATE OF SERVICE

I, BRENDAN NGEHSI NEWANFORBI, declare under penalty of perjury under the laws of the United States of America that on July 16, 2026, I caused a true and correct copy of the foregoing **COMPLAINT FOR DAMAGES AND INJUNCTIVE RELIEF** to be served upon the following by United States first-class mail, postage prepaid, and additionally by email:

Defendant SHANNON SMITH (individually):

c/o HOPE Psychotherapy, Inc.

1245 B Street

Hayward, CA 94541

Defendant HOPE PSYCHOTHERAPY, INC.:

c/o Shannon Smith, CEO

1245 B Street

Hayward, CA 94541

Counsel of Record (courtesy copy):

Blaze Van Dine, Esq.

SIMS, LAWRENCE & BROGHAMMER

1478 Stone Point Drive, Suite 450

Roseville, CA 95661

Email: blaze@sims-law.net; SLB-eservice@sims-law.net

Executed on July 16, 2026, at Stockton, California.

_____

BRENDAN NGEHSI NEWANFORBI

Plaintiff, In Pro Per